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(vi) **Adjusting entry:** Adjusting entry is the entry made for the transactions which remain unrecorded or require adjustment after closing the accounts for the accounting year. This is dealt in chapter 13.

(vii) **Transfer entry:** Transfer entry is the entry through which amount is transferred from one account to another account.

3.8.5 Application of rules of double entry system

Rules of double entry system of book-keeping are applied for business transactions as follows:

(i) **Personal account**

'Debit the receiver and Credit the giver'. In case of personal accounts, the rule is debit the account of the person who receives the benefit and credit the account of the person who gives the benefit.

Example	:	Paid Anbu ` 10,000 by cheque
Accounts affected	:	Anbu account and Bank account
Nature of accounts	:	Both are personal accounts in nature
Rule	:	Debit the receiver and credit the giver
Applying the rule	:	Anbu is the receiver and the Bank is the giver
Debit		Anbu account
Credit		Bank account

(ii) **Real account**

'Debit what comes in and Credit what goes out'. In case of real accounts, the rule is debit what comes in and credit what goes out.

Example	:	Furniture purchased for cash ` 5,000
Accounts affected	:	Furniture account and Cash account
Nature of accounts	:	Both are real accounts in nature
Rule	:	Debit what comes in and credit what goes out
Applying the rule	:	Furniture comes in and cash goes out
Debit		Furniture account
Credit		Cash account